Managing Disruptive Technologies

Case Study:
Generative AI’s Impact on Unity

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AGENDA

Unity should further develop embodied-intelligence simulation to unlock its next growth curve

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Executive Summary

Generative AI is structurally disrupting Unity's existing business model

- AI-native tools erode Unity's ease-of-use advantage and compress Asset Store value
- User mix is shifting: indie developers move to AI platforms; enterprise users demand usage-based pricing
- Cloud inference costs rise faster than subscription growth, pressuring profitability

Unity's ability to win strengthens significantly in embodied-intelligence simulation

- Strong fit with Unity's real-time 3D, physics simulation, and data-generation capabilities
- Clear industry demand from SoftBank Robotics, Agibot World, etc
- Allows Unity to move from a tool provider to a platform orchestrating AI training and validation

Unity should execute through 5 Strategic Pillars to capture the embodied-AI opportunity

- Pillar 1 — Embodied Simulation Core
- Pillar 2 — Cloud Simulation & Orchestrator
- Pillar 3 — AI Training & Validation Toolchain
- Pillar 4 —Pilot Projects with Robot OEMs
- Pillar 5 — Embodied Marketplace

Unity can be profitable by B2B marketplace and B2B direct 1-on-1

Generative AI challenges Unity's core business, but creates a stronger long-term opportunity in embodied-intelligence simulation — Unity should develop a new platform for training intelligent agents.

Unity's leading position in the gaming industry is being threatened by Generative AI

Business Description & Problem Statement

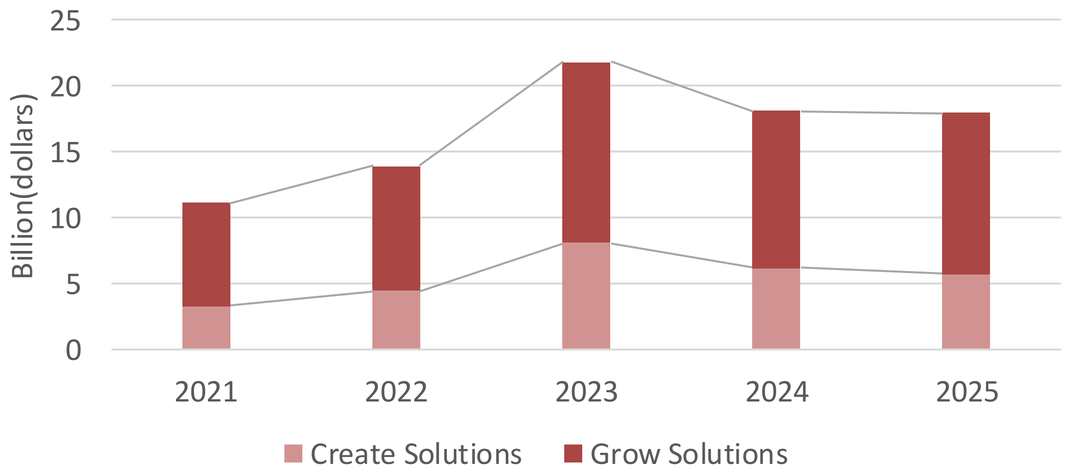
Value Chain & Main Player	Content & Tools	Middleware	Devs/Publishers	Stores/Platforms	UA & Monetization
unity	unity, UNREAL ENGINE	HAVOK, fmod, unity	Nintendo, miHoYo	STEAM, XBOX	ironSource, unity, APPLOVIN

Core Business	Core Challenge	Main Value	Market Position
Real-time 3D development platform & engine	Gen AI threatens its original middleware role (Muse)	High-fidelity, interactive, cross-platform creation	Leader in gaming, AR/VR and essential middleware

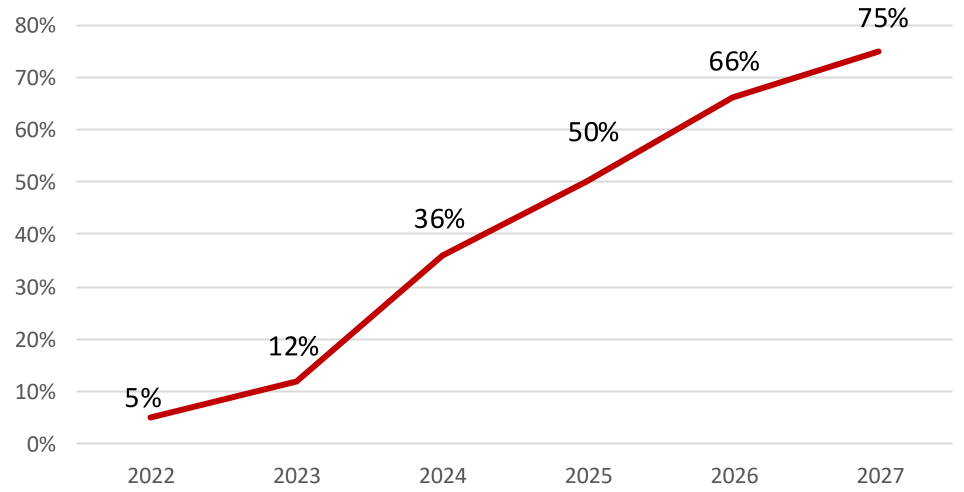
Generative AI

GenAI democratizes and accelerates content creation, lowering the entry barrier for developers but simultaneously commoditizing the very tools that form Unity's core value proposition.

Revenue of Unity 2021 – 2025[1,2]



AI Usage Percentage in Gaming Development[3]



Source: 1 Unity Reports Third Quarter 2025 Financial Results; 2 Unity Software. (2024); 3 Ltd, R. a. M. (n.d.). 4.Ltd, R. a. M. (n.d.); 5.Tyagi, I. V., & Anand, S. (2025).

Generative AI is eroding Unity's core advantages in user base, ecosystem and profitability

Disruptive Business Model

Customer shift

From "Unity-first" to AI-native

- **Indie developers migrate to AI-native tools**, reducing Unity's role as the default engine.
- **Large 3A studios build proprietary AI pipelines**, increasing their bargaining power compared to Unity.
- **New non-gaming users prioritize speed, cost, and pay-per-use**, not loyalty to any specific engine.

Ecosystem shift

"One-stop tool" advantage is diluted

- **Asset Store value erodes** as AI tools generate code and art on demand.
- **"Ease of use" is no longer unique.** AI-assisted workflows now exist across engines and point tools.
- **Greater dependency on external AI platforms** weakens Unity's control over the full stack.

Economics

Higher costs, weaker monetization

- **AI-related cloud and high-end talent costs rise**, adding volatility to Unity's cost base.
- **Subscriptions and Asset Store revenues face price pressure** from low-cost AI tools and in-editor AI features.
- Net effect: **margins and share come under pressure** in the near term unless Unity pivots toward an AI-native platform role.

The increase in AI use in 3D modeling and gaming industry leads to market share loss in the short-term future.

Unity should leverage current technology to expand to Embodied Intelligence simulation

Option Space & Chosen Solution

Strategy Options

Option	Metaverse Architecture Workshop	Unity AI Training Cloud	Embodied Intelligence
Description	Leveraging the Unity engine to "Lego-like" **professional 3D scene building** capabilities, connecting the metaverse platform.	The model has **shifted from traditional software licensing (one-time revenue) to a cloud service profit center** based on usage-based billing (recurring revenue).	Add new B2B business segment on the basis of a rendering engine for games to **develop a simulation platform for embodied AI**
Market Size 2030	~$5-10B	~$20B	**~$32B[8]**
Growth	0-10% YoY	10% YoY (but competition will compress margins)	**>30% YoY**
Profitability	**2-3 years to break-even** <15% long-term margin	>5 years to break-even 15-25% long-term margin (under pricing pressure)	3-5 years to break-even **>30% long-term margin**
Competitive Advantage	Low	Low-Medium	**High**
Synergy	Weak	Medium	**Strong**
Exit Effect	Complete sunk cost, damages brand credibility	Catastrophic (rapid hardware depreciation, contract breaches, brand damage jeopardize core business)	Even if fails, accumulated tech applicable to gaming, auto simulation, etc
Tech Base	Real-time 3D engine, physics simulation, asset pipeline, and cross-platform deployment capabilities		

Source: 8 Simulation software market size, sharing | growth report

Expansion on Embodied Intelligence simulation unlocks a $32B Market for Unity

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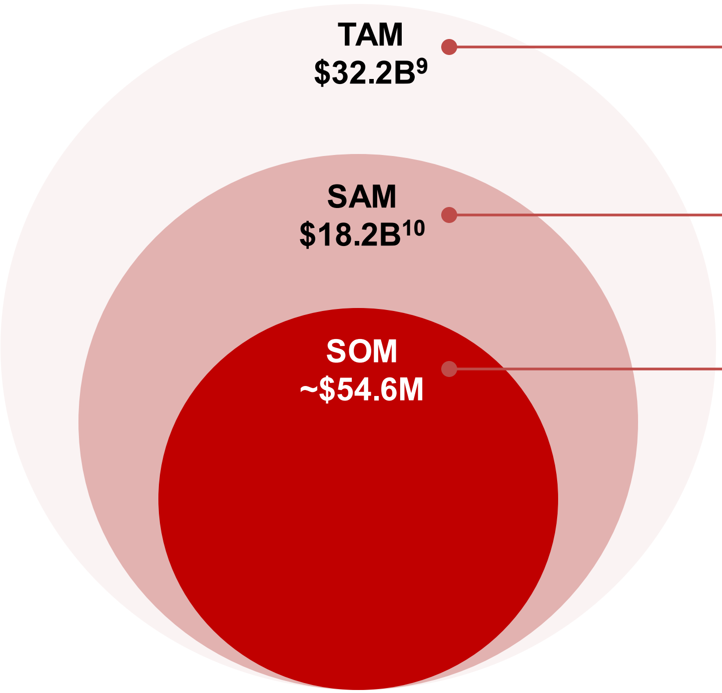
Option Space & Chosen Solution

Market Size



Whole industry of Embodied AI

Robot simulation software market

3%
Market penetration

By 2030, the Embodied AI simulation business would represent **~8% of Unity's projected revenue of creative solution,** showing a meaningful growth for a innovative strategic business

Source: 9: chinanews. (n.d.). 10:*Market Share Report on Embodied Intelligence Simulation Platforms*

Embodied Intelligence

- Industry of Embodied intelligence

Upstream

Software and Hardware Infrastructure

NVIDIA · SIEMENS · DASSAULT SYSTEMES · YOUIBOT

Midstream

Products

- Humanoid Robot
- Autonomous Driving
- Industrial Robot
- Others

Downstream

Application Service

- Transportation
- Public Safety
- Healthcare and Wellness
- Service Industry
- Industrial Manufacturing
- Education and Entertainment
- Logistics and Transportation
- Home/ Household Services

Usage Technology of Unity

Technology

- Real-Time 3D Rendering Engine
- ML-Agents Toolkit
- ROS / ROS 2 Integration
- Sensor Simulation
- High-Fidelity Physics Engine
- Unity Sentis
- AI-Powered Editor Tools

Unity has to implement step-by-step from building, productizing to industrial rollout

Implementation & KPI

	Phase 1	Phase 2	Phase 3
Implementation	**Build the Core & Templates** **Embodied Simulation Core:** • Ship v1 of the dense obstacle engine; support **≥100 AGVs** in one scenario without instability. **Cloud Simulation & Orchestrator:** • Deliver orchestrator prototype; complete **1 PoC** with a GPU vendor + cloud provider (e.g., NVIDIA on AWS/Azure/GCP). **AI Training Platform:** • Release ML-Agents 2.0 and ONNX pipeline; support **at least two task families** (navigation + grasping/assembly), reflecting the most common embodied tasks in robotics research.	**Productize & Monetize Modules** **Deepen the Phase 1 stack and package it into products** • Launch a paid Robotics AI Training Cloud with NVIDIA/AMD/Intel + AWS/Azure/GCP. • Provide generic skill models plus a Fine-Tuning Studio so customers can adapt skills with small datasets. **Scale and systematize Pilot Projects with OEMs** • Evolve one-off lighthouse pilots into a **Platform-Ready Robot** certification program. **Start monetizing the ecosystem** •Introduce revenue sharing on skills, templates, and models.	**Industrial Rollout** **Scale Embodied Simulation, Training & Marketplace coverage** • Extend coverage to 10+ task families (navigation, grasping, stacking, inspection, human–robot collaboration, etc.). • Make cloud training and the marketplace core revenue pillars. **Deepen B2B collaboration and go-to-market** • Turn OEM partnerships into a repeatable GTM motion: co-selling, pre-integration, and joint solutions. • Position the platform as standard infrastructure for embodied AI in warehouses, factories, and logistics.
KPIs	• **≥100 AGVs simulated concurrently** • **3 OEM pilots live** • **2 core task families supported**	• **≥200 cloud training jobs per month**, with ≥30% lower cost vs. on-premise clusters • **≥5 Platform-Ready certified robot models** • **Marketplace GMV ≥ 1M USD per year**	• **≥10 paying B2B customers** • **≥200 cloud training jobs per month** • **≥5 Platform-Ready certified robot models** • **1-on-1 Marketplace GMV ≥ 1M USD per year**

AGV = Automated Guided Vehicle;
Task Families = refers to the two main categories of embodied AI tasks we support first: Navigation / Locomotion; Grasping / Assembly-type Manipulation; PoC = Proof of Concept; GPU = Graphics Processing Unit

Unity should adopt solutions to four key risks in implementation

Risk Assessments

1 Simulation-to-Reality Gap

- Randomize Simulation
- **Hardware-in-the-Loop (HIL)**
- Gap Reporting and Calibration Process

2 Tooling Maintenance/ Compatibility Risk

- Public Roadmap & A Stable Foundation
- **ONNX Compatibility-** a Universal Language for our AI
- Ensure Model Portability

3 Industry Fragmentation & Scaling

- **Standardized Task Templates**
- Delivery Handbook (PoC -> Pilot -> Production)
- Certified Business Intelligence Partner Ecosystem

4 Post-Deployment Capability Gap

- Offer Flexible Deployment
- **Self-Deployable Orchestrator & Partner Cloud Solutions**
- Cost/Throughput Monitoring & Optimization Tools

Unity needs 5 pillars to build a differentiated embodied intelligence platform, from simulation core to marketplace and pilots

Differentiation and Partnership

Embodied Simulation Core

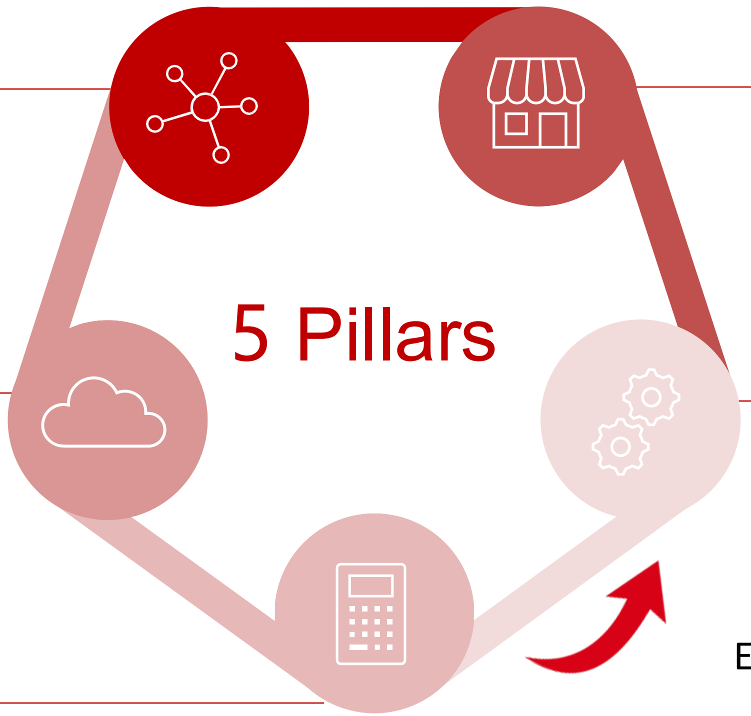
- High-fidelity **real-time 3D & physics simulation engine**
- Dense dynamic obstacle engine

Cloud Simulation & Orcastrator

- **Cloud-native orchestrator**
- **Partner** with NVIDIA, AMD, Intel, and cloud providers (AWS, Azure, GCP)

AI Training & Validation Toolchain

- **Software partners:** OpenAI, ZhipuAI, Google DeepMind
- **Hardware partners:** 1.Sensors 2. Force/torque sensing 3. Dexterous hands



Embodied Marketplace

- Include **review, versioning, packaging**, SDKs, documentation, and a **Verified Solution**
- Create a marketplace for **embodied assets & skills**

Pilot Projects with Robot OEMs

- Lighthouse **end-to-end sim→train→deploy** projects with robot OEMs

Embodied Simulation Core, AI Training & Toolchain
→ **be done by Unity**

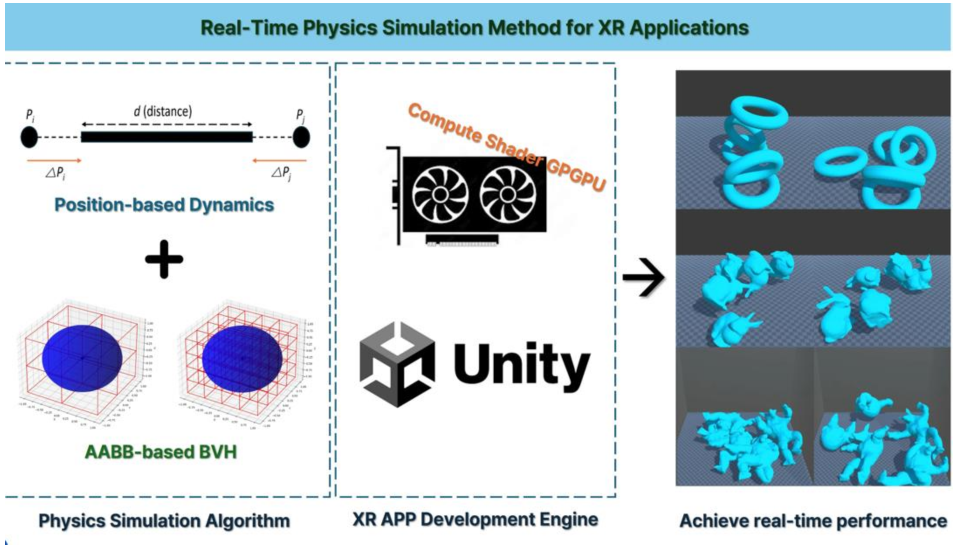
Cloud Simulation & Orcastrator, Pilot Projects, Embodied Marketplace
→ **be done with Partnerships**

Orchestrator = a controller that starts, stops, and coordinates many jobs or services so they work together in the right order; ROS = Robot Operating System; API = Application Programming Interface; GA launch = General Availability launch; PoC = Proof of Concept; SIs = System Integrators; SKU = Stock Keeping Unit.

Unity could achieve Embodied Intelligence flywheel by its own tech platform and partner network

Implementation of Disruptive technology

Mastering the Platform -
Unity Core Technologies and Platforms



Core technologies:

- **Real-time 3D/Physics simulation/Synthetic Data generation**

Embodied Marketplace:

- Open an "**AI skill store**" on the Embodied intelligent platform. **Pre-trained AI models** such as "Dynamic Obstacle Avoidance Navigation V3.0" and "Clutter Grabbing Master Edition" are on the shelves.

Unity Partner Network

Cloud Simulation & Orchestrator

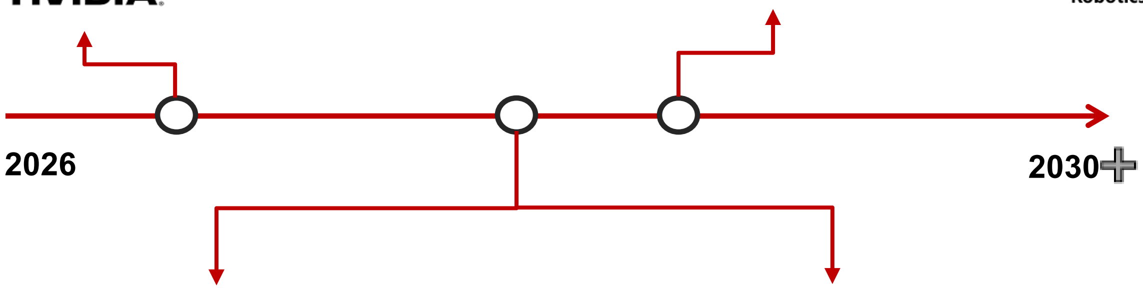
Utilize **the latest GPU/AI chip** architecture. Jointly launched the "One-stop Robot AI Training Cloud Solution" with **cloud vendors**.

Pilot Project

Industrial/Collaborative Robots

Quadrupedal robot Go2

Program and simulate these mainstream robotic arms directly



Software:

Top AI research institutions

Adapt to its cutting-edge large models and generative AI technologies for scene generation, task description

Hardware:

Sensor-vision algorithms

Force control components - high-precision six-dimensional force feedback simulation

Source: 14 (Sung, N.-J., Ma, J., Hor, K., Kim, T., Va, H., Choi, Y.-J., & Hong, M. (2025).

Unity should build a scalable B2B business in Embodied Intelligence

B2B Business Model

	B2B marketplace: foundational services - 70%	B2B direct 1-on-1- 30%

Customer Segments	• **Skill Users/Integrators (Demand Side)**
	  • Primarily **small-to-mid-sized robotics companies**
	  • IT departments in traditional industries undergoing **digital transformation**, and **system integrators.**
		• **Industry Leaders/Lighthouse Clients (Deep Customization Buyers)**
		  • **Automotive OEMs** (e.g., BYD)
		  • **Leading Logistics Firms** (e.g., JD Logistics)
		  • **Top Electronics Manufacturers** (e.g., Foxconn)

Key Activities	• **Platform Development & Operations**:
	  • a user-friendly platform
	  • handle model transactions, version control, and IP protection.
	• **Market Matching & Promotion**:
	  • Efficiently connect supply and demand
		• **Building Industry Know-How & Trust**:
		  • Deep understanding of the client's industry
		• **Complex Project Management & Continuous Service**:
		  • Manage the entire
		  • Provide ongoing technical support
		  • Foster long-term partnerships.

Revenue Streams	• SaaS：**$20k/year** • Year 1: 50*$20k/year**= $1M** • Year 5**:** 1M*(1+150%)^4 **= $39.063M**	• One-to one Service: **$500k** for each project • Year 1 :4*$500k/year**= $2M** • Year 5 **:** Year 4× 110%(constraint) **= $3.19M**

The marketplace provides scalable, repeatable revenue, while 1:1 certification services lock in industry leaders, creating a B2B mix of high-margin cloud training and stable annual fees.

Source: 17 Velaris. (2025). *B2B SaaS benchmarks & key metrics.*

Q&A

APPENDIX

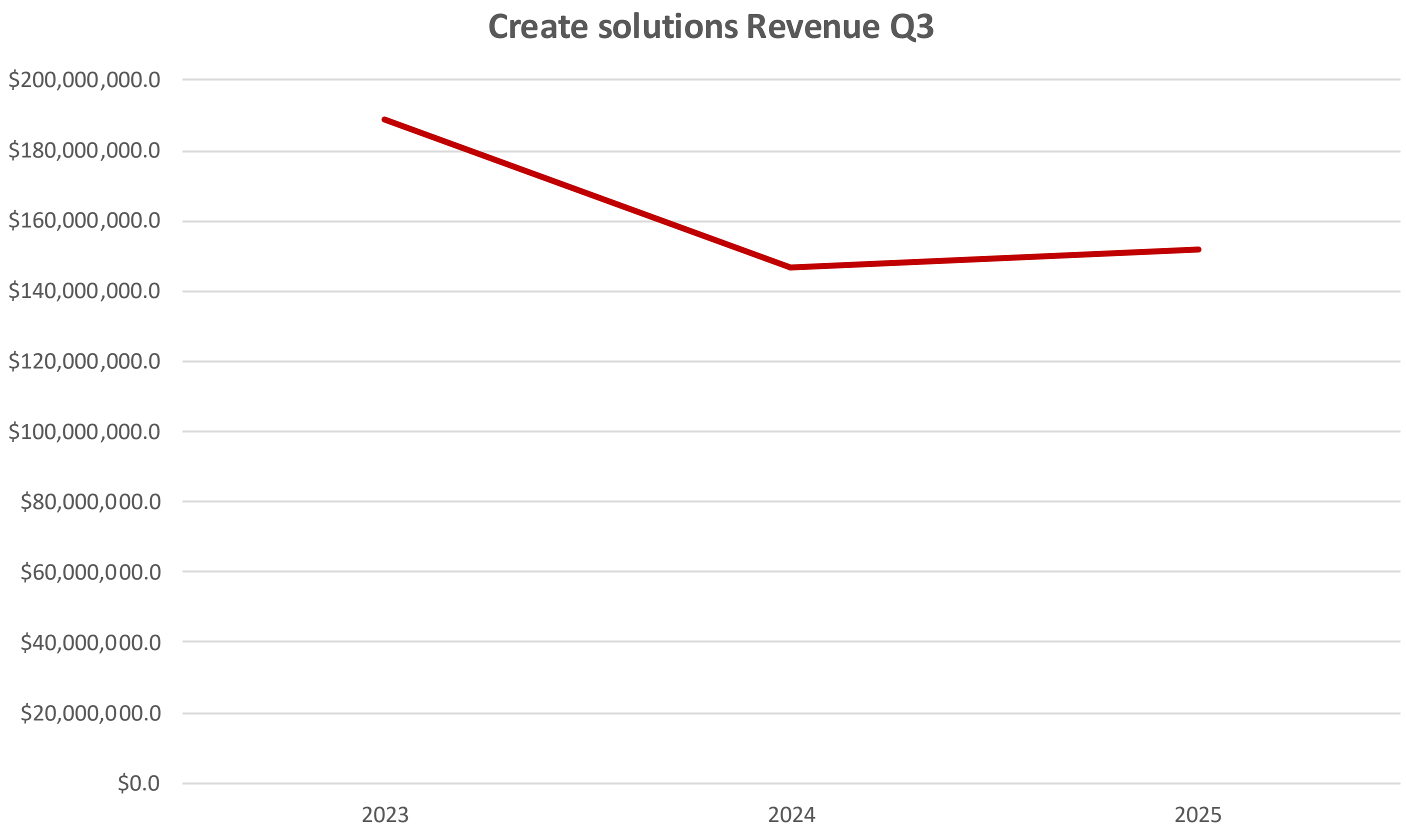
BCG Matrix--Generative AI is reshaping Unity's business landscape

Market Growth

	Low (Market Share)	High (Market Share)
High	**Question Market** Non-Gaming Industry Solutions (e.g. 3D visualization) **Specialized AR/VR/MR Tools**	**Star** **Embodied Intelligence**
Low	**Dog** Traditional Manual Code Debugging **Non-Intelligent Basic UI/UX** Building Tools	**Cash Cow** **Core Game Engine & Editor** Unity Ads & Operate Solutions Unity Asset Store **Used to be STAR**

Market Share

Revenue Structure



"After backing out the impact of non-strategic revenue, our Create subscription software business increased 13% year over year, reflecting the fundamental improvements we've made in both the quality of our product and the connection we have with our customers." [6]

"Create Solutions revenue was $152 million, down 47% year-over-year. The decrease was driven by our portfolio reset, partially offset by 15% growth in subscription revenue, and 50% growth in Industry strategic revenue. " [7]

Source: 6 Unity Reports Third Quarter 2025 Financial Results. (2025); 7 Unity Reports Fourth Quarter and Fiscal Year 2024 Financial Results. (2024).

Unity 6.2 integrates all-in-one AI tool

	Before Unity 6.2 (Muse era)	After Integrating AI – Unity 6.2
Tools	• Muse Chat • Muse Animate • 2D Enhancer (Upscale／Recolor／Remove BG)	• **Assistant + Generator + Inference** (Sentis) • **Workflow:** Assistant (ex- Muse Chat)／Animation Generator (ex- Muse Animate) • **Asset generation:** Sprites / Textures / Materials / Sounds / Animations / Terrain • **2D Enhancers:** Upscale, Recolor, Background Removal
Asset Store	• One-time purchase • Primarily sells finished assets • Search- and rating-based discovery • Import package -> Use it in the window or with API	• Hybrid of one-time purchase and subscription • **AI integrations/tools** and services available from Third-party sellers • Added **"Verified Solution"** label to increase transparency • Great usage of SDK and cloud API, merged with the editor tool
Vector AI	• New ad engine, rollout in progress • Positioned as a "next-gen AI rebuild" fixing Audience Pinpointer issues; limited proof points. • Primarily an ad/UA backend upgrade, communicated separately from Editor AI.	• Fully deployed • Framed as core growth infrastructure with published lift numbers and case studies. • Part of a unified story: **Unity AI = creation side, Vector AI = growth side**.

Appendix

Strategy options

Key information	Content	Definition
Market Size 2030	~$5-10B	1. Market Reference: Its market ceiling is highly dependent on the user and transaction volume of partner platforms (such as Decentraland and The Sandbox), and currently, the daily active users and virtual land market value of these platforms have fallen significantly from their peak. 2. Assumption: Assuming it can cover 10%-30% of the construction and decoration needs in this segment, and combining subscription and revenue-sharing models, the upper limit of the market size can be calculated to be in the billions of dollars.
Market Size 2030	~$20B	1.Market Positioning: Unity falls within the AI training segment of the public cloud infrastructure (IaaS/PaaS) market. While the overall AI chip and cloud service market is vast, Unity's focus on "3D/AI training" is only a subset of it. 2. Competitive Pressure: This market is already dominated by giants like Amazon AWS and Microsoft Azure. As a latecomer, Unity has limited market share to capture and faces fierce price competition.
Market Size 2030	~$32B	The broad market includes CAE, digital twins, virtual simulation, and more.
Growth	0-10% YoY	The growth relies on the thriving ecosystem of external metaverse platforms (such as Decentraland and The Sandbox). Following the hype peak of 2021-2022, the consumer-grade metaverse has cooled significantly. For a niche market that has entered a cooling-off period after a bubble and has a limited user base, its growth expectation is judged to be from stagnation (0%) to slow growth in the single digits (below 10%). (a qualitative judgment based on industry consensus.)

Appendix

Strategy options

Key information	Content	Definition
Growth	10% YoY	Start with a 14% growth rate[11] for the overall AI cloud services market. Considering Unity's focus solely on the vertical segment of "3D/AI training," its potential growth rate may be lower than that of general, mass-market AI cloud services. We'll apply a "competition discount." Within the overall high growth, a discount will be applied due to market segmentation and intense competition, projecting a growth rate in the 10% range.
Growth	>30% YoY	The compound annual growth rate (CAGR) is projected to be around 20%[12] over the next five years. The digital twin market is expected to grow at a CAGR of over 47.9%. Embossed intelligent simulation is a core enabling technology in these high-growth areas. Therefore, its growth expectation is anchored to and slightly higher than the average growth rate of downstream application markets. A growth rate of over 30%[12] is a reasonable inference based on high growth forecasts from multiple related markets.
Profitability	2-3 years	For consumer-facing subscription-based apps/games, the break-even point is typically 2-4 years if successful. The business model is relatively lightweight, with low startup costs. However, the target market is experiencing sluggish growth, and user lifetime value is low, leading to slow revenue growth. Using the lower end of the industry benchmark, a break-even point of 2-3 years is projected.
Profitability	<15% long-term margin	Platform revenue sharing (30%-50%), marketing costs (over 30%, due to intense competition), R&D and operations. After deducting platform revenue sharing and payment channel fees, the gross profit margin may only be 40-50%. After further deducting high marketing and R&D expenses, the final net profit margin will be compressed to below 20%.

Source: 11 *AI Chips for Data Centers and the Cloud; 12 Robotic Process Automation Market Size | Growth Report; 13 Digital Twin Market Size, Share, Industry Trends Report 2030*

Appendix

Strategy options

Key information	Content	Definition
Profitability	>5 years to break-even	Public cloud infrastructure is a classic example of a "scaling game." Giants like AWS and Azure only began to generate stable profits after years of massive investments. As a latecomer, Unity will face a very lengthy process of filling data center utilization. In a fiercely competitive market, latecomers will need even more time, estimated at least five years.
Profitability	15-25% long-term margin (under pricing pressure)	The main costs are data center depreciation (approximately 30%-40% of revenue), electricity costs (approximately 15%-25%), network bandwidth, and operation and maintenance costs. Even with good operations, the gross profit margin for cloud infrastructure is typically around 40%-50%. After deducting R&D, sales, and administrative expenses, the net profit margin will be compressed to the range of 15%-25%.
Profitability	3-5 years to break-even	Complex B2B software/SaaS solutions for large enterprises typically take 3-5 years or even longer to reach the break-even point, from R&D to market acceptance. The market is on the verge of explosive growth, with clear demand; once the product is validated, growth will accelerate. The industry benchmark is 3-5 years.
Profitability	>30% long-term margin	The core costs are R&D investment in top talent and sales costs to large enterprises. Once the product matures, the marginal delivery cost is extremely low. Referring to successful industrial software companies (such as Ansys and PTC) or vertical SaaS companies, their gross profit margins are typically between 80% and 90%. After deducting R&D and sales expenses, the operating profit margin of such companies (which can be approximated as the long-term potential net profit margin) often reaches 30% to 40%. Therefore, >30% is a reasonable long-term target.

Appendix

Strategy options

Key information	Content	Definition
SOM	~1B	1. Total Simulation Tool Market Size = Overall Market Size × Percentage of Investment in Simulation Tools \$18.2 billion x 10% = \$1.82 billion 2. Unity's SOM = Total Simulation Tool Market Size × (Percentage of Small and Medium-Sized Customers × Unity's Expected Share in This Segment) If Unity can achieve a 3% share of the overall simulation tool market (considering its focus on specific customer segments rather than the entire market), then: \$1.82 billion x 3% = \$54.6 million

Appendix

B2B comparison

Table 1: 5-Year Financial Complete Calculation - Calculation Process + Data Sources				
Metric	**Calculation Process**	**Platform (Fundamental Service)**	**Custom Project (One-to-One Service)**	**Difference**
Gross Margin Baseline	Industry standard gross margin (marginal cost	75-90% (Standard SaaS)	20-35% (Services/Consulting)	Platform **2-3x higher**
Year 1 Revenue	Initial customers × ARPU	$1.0M (50 customers × $20k/year)	$2.0M (4 projects × $500k)	Custom projects lead 2x initially
Year 1 Gross Profit	Revenue × Gross Margin %	$1.0M × 75% = **$0.75M**	$2.0M × 20% = **$0.40M**	Platform -47% (catch-up phase)
Year 2 Revenue	Y1 ARR × NRR (retention + cross-sell)	$1.0M × 110% NRR = **$2.5M**	$2.0M × 120% = **$2.4M** (labor constraint)	Platform +4% (beginning to balance)
Year 2 Gross Profit	Revenue × Gross Margin %	$2.5M × 75% = **$1.88M**	$2.4M × 20% = **$0.48M**	Platform **292% higher** (margin divergence)
Year 3 Revenue	Y2 ARR × NRR (150% growth)	$2.5M × 150% = **$6.25M**	$2.4M × 110% = **$2.64M** (growth slowing)	Platform **137% higher** (inflection point begins)
Year 3 Gross Profit	Revenue × Gross Margin %	$6.25M × 75% = **$4.69M**	$2.64M × 20% = **$0.53M**	Platform **787% higher**
Year 4 Revenue	Y3 ARR × NRR (150% growth)	$6.25M × 150% = **$15.625M**	$2.64M × 110% = **$2.90M** (continued constraint)	Platform **439% higher**
Year 4 Gross Profit	Revenue × Gross Margin %	$15.625M × 75% = **$11.72M**	$2.90M × 20% = **$0.58M**	Platform **1,921% higher**
Year 5 Revenue	Y4 ARR × NRR (150% growth)	$15.625M × 150% = **$39.063M**	$2.90M × 110% = **$3.19M** (difficult to scale)	Platform **1,124% higher**
Year 5 Gross Profit	Revenue × Gross Margin %	$39.063M × 75% = **$29.30M**	$3.19M × 20% = **$0.64M**	Platform **4,578% higher**
5-Year Cumulative Revenue	Y1+Y2+Y3+Y4+Y5	$1.0M + $2.5M + $6.25M + $15.625M + $39.063M = **$64.44M**	$2.0M + $2.4M + $2.64M + $2.90M + $3.19M = **$13.14M**	Platform **5x higher**
5-Year Cumulative Gross Profit	Y1+Y2+Y3+Y4+Y5 profit sum	$0.75M + $1.88M + $4.69M + $11.72M + $29.30M = **$48.33M**	$0.40M + $0.48M + $0.53M + $0.58M + $0.64M = **$2.63M**	Platform **18.4x higher** ⭐ KEY METRIC
5-Year Cumulative Gross Margin %	Total Profit / Total Revenue	$48.33M / $64.44M = **75%**	$2.63M / $13.14M = **20%**	Platform 75% vs Custom 20%

- Year 3 is the inflection point: Platform profit ($4.69M) first exceeds custom project profit ($0.53M)
- NRR 110-125% drives platform 150% YoY growth, while custom projects only 20%
- 5-year cumulative: Platform profit is 18.4x higher than custom projects

Table 2: Gross Margin Breakdown - Why Platform 75% vs Custom 20%?				
Cost Item	**Platform Calculation Process**	**Platform Example**	**Custom Calculation Process**	**Custom Example**
Total Revenue	50 customers × $20k/year	**$1M**	4 projects × $500k/project	**$2M**
Server & Cloud Costs	User count × unit cost, auto-scales	**5% ($0.05M)**	AWS or on-premise (per-project billing)	**4% ($0.08M)**
Technical Support Costs	Shared support team (2-3 people)	**8% ($0.08M)**	Project-specific support & docs	**6% ($0.12M)**
Operations & Sales Costs	Sales, marketing, admin (not linearly scaled)	**12% ($0.12M)**	Project management, travel, people mgmt	**70% ($1.4M) ← Human cost dominant**
Total Costs	Sum of cost items 2+3+4	**25% ($0.25M)**	Sum of cost items： 2+3+4	**80% ($1.6M)**
Gross Profit	Total Revenue - Total Costs	**$1M - $0.25M = $0.75M**	Total Revenue - Total Costs	**$2M - $1.6M = $0.4M**
Gross Margin %	Profit / Revenue	**$0.75M / $1M = 75%**	Profit / Revenue	**$0.4M / $2M = 20%**

- Platform: Cost ratio 25% because most costs are one-time development, infinitely replicable
- Custom: Cost ratio 80% because 70% is human cost ($120k-200k/person/year), each project requires new hires
- Key Insight: Platform costs decrease as revenue grows, custom costs scale linearly with revenue

Appendix

B2B comparison

Table 4: Why NOT Reverse Choice (70% Custom + 30% Platform)?

Risk Factor	Custom-First Result	Platform-First Result	Difference Multiple	Severity
Year 5 Gross Profit	$2.63M	$48.33M	Platform **18.4x higher**	🔴 CRITICAL
Growth Speed (YoY)	20%	150%	Platform **7.5x higher**	🔴 CRITICAL
Financing Capacity	$4M valuation	$62.5M valuation	Platform **15.6x higher**	🔴 CRITICAL
Headcount Required	35-50 people	5-10 people	Custom **5-10x higher**	🔴 CRITICAL
Margin Trajectory	Fixed 20% (hard to improve)	Increases to 87% (expo	Platform **4x higher**	🟡 IMPORTANT
Customer Lifecycle	One-time (project ends)	Long-term subscription	Platform **5-10x higher**	🟡 IMPORTANT
Market Position	Contractor/integrator	Platform enabler/ecosy	Platform >> Custom	🟡 IMPORTANT
Competitive Moat	Human capital (poachable)	Data + network effects	Platform >> Custom	🟡 IMPORTANT

How Unity's ecosystem shifts due to Generative AI

Disruptive Business Model

Engage the market

Customer segments

Losing –

- Loss of the foundational base
- Mid-to-large AAA teams (**bargaining power has increased)**
- Non-specialist users care about **speed and convenience**, prefer **pay-per-use models**

AI adoption is **restructuring the product and revenue mix**.

Customer relationships

- User engagement has decreased

Channels

- Value Evaporation of the Asset Store
- One-stop tool (Unity) has a falling competitiveness

Define the product

Unique value proposition

"Ease of use" is being **partially diluted** by AI-based code and art generation.

Deliver the experience

Required activities/ resources

- Existing content creation and testing must be transformed, reducing the need for engineering headcount and manual QA resources.

Unfair advantage

- User data
- **One-stop toolchain**: from creation to publishing

Required partners

- Traditional **Partnership reconstructed**
- New dependency on AI

Cost structure

- The share of **AI-related cloud and high-end talent costs** is increasing. With greater volatility, payback slows, and breakeven pushes back.

Revenue streams

- AI tools pressure **subscription revenues**. Generic, low-priced assets may be partially replaced by in-Editor AI features.

The increase in AI use in 3D modeling and gaming industry leads to market share loss in the short-term future.

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